Failure and Opinion Decomposition: Matched Weighted

Actual failure / columns 1–4

	Fin restatement	Strict restatement	Raw restatement	Fin any failure
	(1)	(2)	(3)	(4)
Switch into Big 4	-0.080068**	-0.037265**	-0.067003	-0.093420**
	(0.032717)	(0.016300)	(0.048170)	(0.039604)
p	0.0151	0.0231	0.1656	0.0192
Observations	1,763	1,763	1,763	1,763

Actual failure / columns 5–7

	Strict any failure	Raw any failure	Violation
	(5)	(6)	(7)
Switch into Big 4	-0.045503	-0.083645	-0.017673
	(0.028435)	(0.050800)	(0.026686)
p	0.1109	0.1010	0.5085
Observations	1,763	1,763	1,763

Unwarned failure / columns 1–4

	Fin restatement	Strict restatement	Raw restatement	Fin any failure
	(1)	(2)	(3)	(4)
Switch into Big 4	-0.100429***	-0.037703**	-0.082854**	-0.125902***
	(0.028720)	(0.016184)	(0.040917)	(0.034801)
p	0.0006	0.0207	0.0440	0.0004
Observations	1,763	1,763	1,763	1,763

Unwarned failure / columns 5–7

	Strict any failure	Raw any failure	Violation
	(5)	(6)	(7)
Switch into Big 4	-0.064404**	-0.108164**	-0.036137
	(0.024845)	(0.045615)	(0.022795)
p	0.0101	0.0186	0.1143
Observations	1,763	1,763	1,763

Notes: SE clustered by firm. Nine audit-failure controls and mis_dummy. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.